ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 1 - IMPULSE PRICE SWINGS & MARKET PROTRACTION

IMPULSE PRICE SWINGS - DEFINITION AND BASIC IDENTIFICATION

TIMESTAMP: 00:00:36

This section introduces the concepts of impulse price swings and market protraction, noting their similarities but also unique differences.

An impulse price swing is a continuous movement observed in price action:

- An impulse price swing down.

- Followed by an impulse price swing higher.

- Then another impulse price swing lower.

- This pattern continues, with impulse swings moving higher, lower, higher, lower, higher, and ultimately lower.

Price swings move from a high down to a low, then to another high down to another low, continuing this sequence. When observing price action, it is essential to think in terms of impulse price swings, as they provide significant detail.

SIGNIFICANCE OF IMPULSE PRICE SWINGS AND MARKET MAKER MANIPULATION

Within the broader context of impulse price swings, there are smaller, more specific impulse price swings that hold a greater influence over the marketplace.

These particular swings often manifest as manipulative moves or are indicative of market-making manipulation.

The discussion shifts to focus primarily on market protraction.

To analyze market protraction, you can add time of day delineations to your chart. By holding down 'control' and tapping 'Y' on your keyboard, you can add vertical lines that represent 0 GMT (Greenwich Mean Time).

These vertical delineations effectively divide the market into daily segments based on 0 GMT. This allows for the observation of time-sensitive impulse price swings, which is the core concept of market protraction.

Market protraction is explicitly defined as time-sensitive. It is an impulse price swing that shows a high sensitivity to a specific time of day.

There are three primary protractionary market moves that occur every 24 hours:

- The first primary move is observed right at 0 GMT.

- At 0 GMT, you will typically see one distinct movement away from the open, either higher or lower, right at that time delineation.

- Examples show price trading down and then moving higher, or trading higher.

- The initial movements during the Asian session (starting at 0 GMT) are not considered as influential as those in other sessions for primary protractionary moves.

LONDON SESSION MARKET PROTRACTION (MIDNIGHT NEW YORK)

TIMESTAMP: 00:04:05

The next significant market protractionary state occurs during the London session.

While we can remove the control + Y delineations, focus on the vertical lines marking midnight New York time.

- Immediately after midnight New York on a given day, an initial market move higher (or lower) is often observed.

- This market move is identified as a protractionary market phase.

- Its specific design is to 'fake out' individuals who might chase this initial move that occurs directly after midnight New York.

NEW YORK SESSION MARKET PROTRACTION (7 AM NEW YORK OPEN)

TIMESTAMP: 00:04:46

The second impulsive price swing associated with market protraction begins in the New York session.

- Delineate 7:00 AM in the morning, New York time.

- If the market has moved lower in London, anticipate a retracement higher around this time. This impulsive price move higher is market protraction.

- It is designed and intended purely for manipulation.

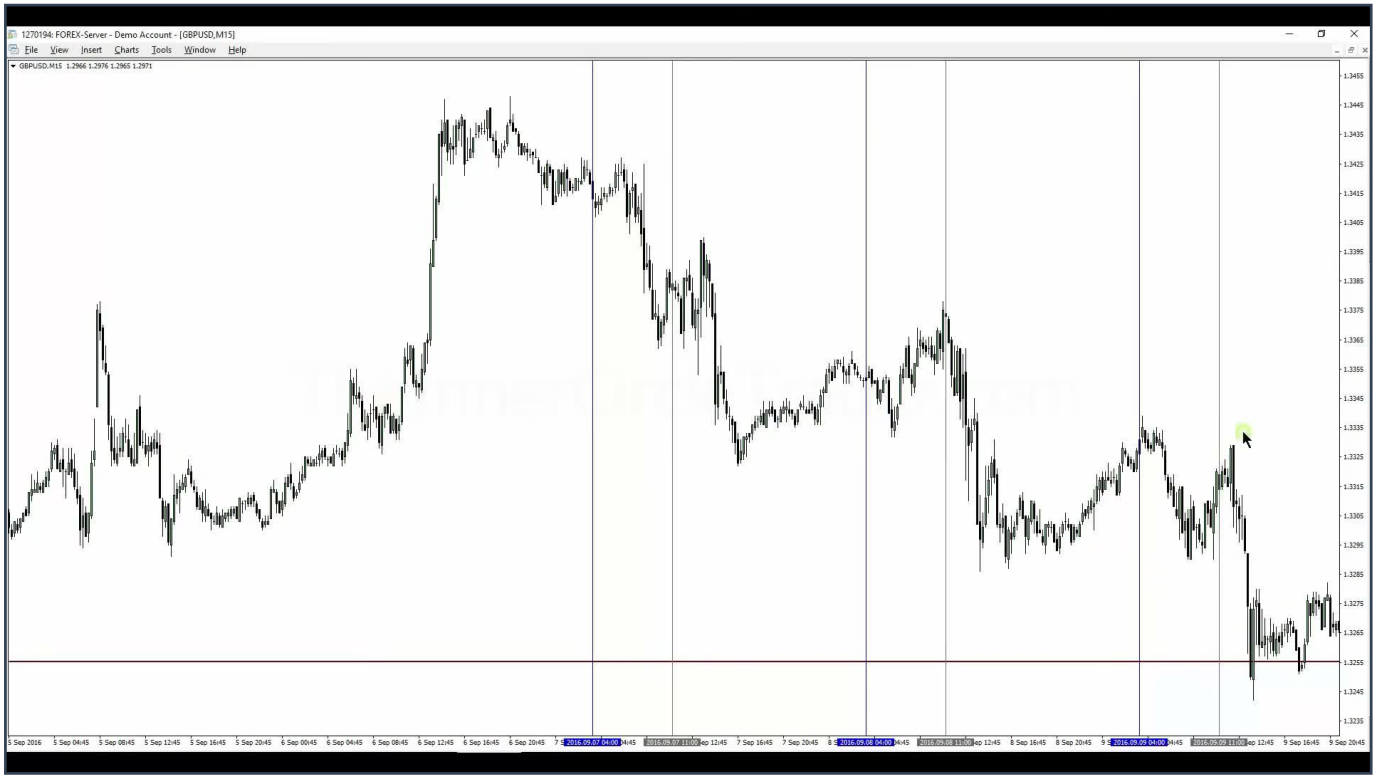
- Its purpose is to get traders to believe the market is establishing a low (or a high, depending on the context), only for it to reverse direction later.

- Examples show rallies up before price ultimately trades down.

- This protractionary market state occurs right after the 7:00 AM hour, leading into the New York open.

- This small, minor impulse price swing, often higher, is market protraction, engineered for manipulation.

THE MANIPULATIVE INTENT OF MARKET PROTRACTION (JUDAS SWING) TIMESTAMP: 00:05:53



The primary intent of market protraction is manipulation.

It is typically a counter-directional move:

- If the initial protractionary move goes higher, you should anticipate the opposite direction (lower) for the subsequent major move.

- If it goes lower, you should anticipate the opposite direction (higher).

Specifically, if the market initially moves higher while the prevailing trend has been lower, this is identified as manipulation or market protraction – often referred to as a 'Judas Swing'. The market aims to draw in participants on the wrong side of the marketplace or to reach for liquidity.

Key times for this manipulation:

- It must happen after 7:00 AM New York time.

- In the London session, after 4:00 GMT (as seen on a Forex Ltd demo account), if a bullish movement occurs in a generally bearish context, it is also market protraction or a Judas Swing – a false rally intended for selling into.

PRACTICAL EXAMPLES OF MARKET PROTRACTION AND LIQUIDITY SWEEPS

TIMESTAMP: 00:07:12

Further examples illustrate market protraction in action:

- On one day, the market drops initially right from the midnight candle (London/NY midnight), then rallies up. This rally is market protraction, seeking liquidity below the market by clearing out lows, and then rallies.

- Right at New York open, the market shows another small rally, then sells off.

- The next day in London, an initial rally is seen after the midnight candle, followed by a trade lower.

- Right after 7:00 AM New York time, another protractionary state appears where the market rallies again. This minor impulse price swing is designed to manipulate the sentiment and thoughts of traders.

- What looks like a low, with a subsequent run-up, would entice buyers in the New York session before the market reverses.

These concepts allow us to analyze the market by blending impulse price swings with the time of day.

- Identify a market impulse price swing moving down from a high to a low.

- This swing can be measured. If it retraces back up above equilibrium (into a premium market, for example, to the 62 retracement level), this presents a potential selling opportunity.

- After an impulse price swing, the market can move into a protractionary phase. Traders can be sellers, expecting the market to run below previous lows, seeking liquidity.

- By looking at previous days, old lows can be identified as target levels for the market to trade down into.

ADVANCED PROTRACTION ANALYSIS - JUDAS SWINGS AND LIQUIDITY TARGETING

This section provides an advanced application of blending impulse price swings and protraction:

- The market makes another impulsive price swing here, rallying up with a subsequent move higher.

- In the following London session, it can display a 'Judas Swing' lower, which is a market protractionary phase. This move is designed to fake traders into believing an initial drop is occurring.

- Instead, the market rallies up, often into the New York session, reaching a premium market. This showcases the blending of impulse price swings with time of day.

- The market can retrace back into equilibrium for market protraction and then expand lower, targeting and taking out stops below previous lows and aiming for areas of equal lows where liquidity tends to accumulate.

PRACTICAL APPLICATION: PROTRACTION TO CLEAR LIQUIDITY

TIMESTAMP: 00:10:35

Another example demonstrates protraction leading to liquidity clearance:

- An impulse price swing moves down to a specific low.

- Right at the New York midnight candle, a Judas Swing higher (a fake move) occurs, then price trades down.

- Going into New York, another protractionary market phase unfolds, with price trading up into an area where it had previously sold off.

- This is followed by a lower expansion, reaching specific levels, such as the 3255 level.

- The rapid movement to this level is explained by the market reaching for an old low (i.e., liquidity) from a previous day.

The fundamental difference between general impulse price swings and market protraction lies in the application of a time element.

Market protraction involves small impulse swings that are time-sensitive and occur at specific times:

- After midnight New York time.

- After 7:00 AM New York time.

- After 8:00 PM New York time.

This protractionary market phase is typically a small impulse price swing that moves counter to the major direction expected after that specific time of day.

This concept is highly valuable for session trading and for conducting session drills. It helps to provide context in your practice and assists in building anticipatory price skills.